

SECTION A – CASE QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Kooma Ski Limited ("Kooma") was founded by a Swiss family and was engaged in the design and manufacturing of ski equipment under the brand "Ace". Kooma has its own factory which is in Switzerland ("Swiss factory"). Some years ago, a Chinese equity fund acquired 70% equity shareholding in Kooma from its founder. Thereafter, the Chinese equity fund became the controlling shareholder of Kooma.

In the following year, Kooma identified another ski brand named "Bee", and successfully obtained exclusive distribution rights for manufacturing and selling Bee's products in the Asia Pacific. In the year of 2021, Kooma established a new factory in China ("China factory") solely for Bee's production. Kooma continued to expand its business, and in late 2022, Kooma acquired an international ski equipment distributor, namely Cow Distribution Company ("Cow"). This resulted in Kooma becoming one of the market leaders in this industry. In December 2024, Kooma underwent an IPO and was successfully listed on the Hong Kong Stock Exchange.

After listing, Kooma announced a series of plans continuing to expand its business. In the below are the related announcements.

Announcement dated 1 February 2025

"... Our China factory has reached its full capacity, accordingly, we have identified another place to build our second factory in China. In view of the significant growth in our Bee products, we have also bought a total of 101 patents of Bee's ski products from its owner, which is a third party. This plan can align our long-term goals for business growth..."

Announcement dated 1 May 2025

"...The board of directors has decided to close its Swiss factory by the end of 2025. All the production lines of Ace will be moved to our new China factory and the production will start from July 2026. After the removal, management will look for interested buyers to purchase the Swiss factory including the plant and machinery from Sub Ace. The new factory in China will be equipped with more advanced machinery, which can help us to maintain our high-quality products to meet our professional skiers' needs....."

Announcement dated 1 October 2025

"...Our subsidiary Cow Distribution Company has recorded losses in the six months ended 30 June 2025. Management has revisited the current distribution agreements and will consider terminating some of the low margin distributorships..."

Kooma currently has three subsidiaries with distinct businesses: (1) Sub Ace, (2) Sub Bee and (3) Sub Cow.

- (1) Sub Ace produces its own branded ski equipment for professional skiers in international games like the Olympics. Its brand, "Ace", has been established by Kooma for half a century and currently is the No.1 ski brand in the world. Approximately 75% of professional skiers use Ace. Its production lines are in the Swiss factory.
- (2) Sub Bee produces a wide range of ski products for beginners to advanced skiers. The brand "Bee" was originally owned by a third party named "Beetle" and Sub Bee was responsible for manufacturing and sales of Bee products in Asia Pacific. During 2025, Kooma purchased all the related patents of Bee's ski products from Beetle. Thereafter, Sub Bee owned all the patents of "Bee" and was able to distribute its products worldwide. The production of Bee products is in the China factory.
- (3) Sub Cow is a distributor which distributes various reputable ski and snowboard gear worldwide. However, due to the pandemic flu outbreak in recent years, Sub Cow has encountered liquidity problems. Its then shareholders sold all equity interests in Cow to Kooma to resolve Cow's solvency issues in December 2022.

Below is the extracted financial information of Kooma for the year ended 31 December 2025 and as of that date.

(In HK\$'million)	Ace	Subsidiaries		Total
		Bee	Cow	
<u>Profit and loss:</u>				
Revenue	130	80	40	250
Gross profit	30	34	1	65
Gross margin (%)	23%	42.5%	2.5%	26%
Operating profit/(loss)	22	20	(2)	40
Profit margin (%)	17%	25%	-5%	16%
<u>Non-current assets by subsidiaries:</u>				
Property, plant, and equipment (*)	25	28	-	53
Goodwill	-	-	26	26
Other intangible assets (^)/(#)	-	10	15	25

* It represents the factory premises, plant, machinery and equipment of Swiss factory and China factory recorded by Sub Ace and Sub Bee, respectively.

^ It represents the patents purchased by Sub Bee from Beetle, a third-party company. The patents are amortised over a period of 25 years.

It represents the distribution contracts identified during the acquisition of Sub Cow.

Question 1 (13 marks – approximately 23 minutes)

You are auditing the financial statements of Sub Ace. In view of the closure plan of the Swiss factory of Sub Ace as announced by Kooma on 1 May 2025, management has conducted an impairment assessment. The property, plant and equipment (PPE) mainly comprise of the factory premises and machinery. You understand from management that they have been seeking potential buyers for the purchase of its Swiss factory but no one has approached Ace to indicate any interest yet. Management therefore provided an estimation of its market value by reference to the secondhand market and noted that a shortfall of HK\$5 million resulted. However, management considered that it is not material, and therefore no impairment provision has been made.

Required:

- (a) Advise which assertion(s) of its PPE should be designated as a significant risk of material misstatements. Explain your answers. (7 marks)
- (b) Evaluate the effect of the unrecorded misstatements, from qualitative and quantitative perspectives, relating to the shortfall of the PPE's market value by HK\$5 million on the financial statements of Sub Ace. (6 marks)

Question 2 (13 marks – approximately 23 minutes)

You are auditing the intangible assets (i.e. patents) of Sub Bee. You noted that the legal titles of the patents have not yet been transferred to Sub Bee by Beetle, the third party. Management advised that this was due to the fact that Beetle had not settled the long overdue levies payable to the respective government, therefore a legal restriction on the transfer of Beetle's patents was imposed. As management was not aware of this restriction prior to the purchases of the patents, Sub Bee had already paid Beetle the consideration in full, which cannot be refunded. In this regard, management has obtained a confirmation signed by Beetle confirming that Sub Bee has the sole rights to use, control and execute these patents, including subsequent disposals.

Required:

- (a) Analyse the above situation and explain why the lack of a proper legal title of these patents may have a material impact on the financial statements of Sub Bee. (3 marks)
- (b) Determine appropriate audit procedures and advise additional audit evidence to be obtained for auditing the patents. (10 marks)

Question 3 (14 marks – approximately 26 minutes)

You are an audit manager who is auditing the goodwill and intangibles of Sub Cow. For the impairment test of the goodwill and intangibles of Sub Cow, management adopted an income approach to determine the recoverable amount of Sub Cow's business. They provided you a cash flow forecast with the following key management assumptions of this cash flow forecast, as follows:

- (a) Revenue will be subject to an annual growth rate of 5%.
- (b) Production costs will remain stable.
- (c) General and administrative expenses will remain stable.
- (d) Gross margin will increase by 2%, 4%, and 8% for the first three years, then will remain stable thereafter.
- (e) Accounts receivable and payable will remain stable.
- (f) No significant capital commitments are foreseen.
- (g) The terminal growth rate is 5% and the discount rate is 10%.
- (h) No external financing is needed.
- (i) Some of the patents will be sold to the market which approximates the current carrying amounts.

Based on the cash flow forecast, the projected cash flows as compared with the carrying amounts are stated as follows:

	HK\$'million
Recoverable amounts	43
Carrying amount of Goodwill and Intangibles (HK\$26 million + HK\$15 million)	41
Headroom	2

Required:

Prepare a memo to your Audit Partner evaluating the management assumptions as set above and propose a list of questions with your rationale or additional audit evidence that you should enquire or request from the management. Explain your answers in the memo.

Note: A maximum of 2 marks for analytical skills and 2 marks for communication skills will be awarded.
(14 marks)

Question 4 (10 marks – approximately 18 minutes)

In view of the recent incident discovering the lack of legal ownership of its patents for Bee products, Kooma was required by the Audit Committee to evaluate its internal controls relating to this incident and provide any remediation plan.

Required:

You are the Chief Compliance Officer of Kooma. Advise the roles and responsibilities of the Directors of Kooma in relation to the evaluation of the internal control systems and how the Directors can address the request from the Audit Committee.

(10 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculations and appropriate presentation of the answers.

Question 5 (10 marks – approximately 18 minutes)

As the audit engagement manager for Guyi Holdings Limited ("Guyi"), a listed company in Hong Kong, you are currently performing the audit planning for the upcoming 2024 audit year.

You have noted that there is an overdue payment for the 2023 audit fee from Guyi, which accounts for 3% of the total audit fee. During the preliminary audit planning call with Guyi, you reminded them about the overdue payment. In response, Guyi stated that they plan to settle the remaining audit fee, together with the 2024 audit fee for administrative convenience, after the completion of the 2024 audit.

You believe there is no significant risk of default as the outstanding amount is not substantial, and Kenny Lee, the audit engagement partner, and several audit team members, have maintained a strong relationship with Guyi since their involvement in the first-year audit as engagement partner in 2017.

After the call, you reported these issues and findings to Kenny Lee. He emphasised the importance of maintaining a professional and positive relationship with Guyi, especially since the firm has lost several significant audit clients over the past two years. Currently, Guyi's audit fee represents over 18% of the firm's total fees for the year (2023: 16%).

Required:

Evaluate if there is any independence threat in the cases and propose safeguards to mitigate these threats (Limit to THREE safeguards for each threat identified).

(10 marks)

Question 6 (12 marks – approximately 21 minutes)

Success Bank is one of the largest banks in Hong Kong, operating across both the Mainland and Hong Kong. The bank primarily focuses on lending to property developers in these regions, offering both secured and unsecured loans. In the 2024 financial year, global interest rates have risen significantly.

As a result of the increased rates, property prices in the Mainland and Hong Kong have continued to decline. Many of Success Bank's clients, primarily large property developers, have reduced new building prices to their lowest levels in a decade and postponed the sale of completed units. Additionally, several clients who are property developers have defaulted on their loan covenants.

In response to these challenges, Success Bank has stopped accepting debt securities and shares from certain property developers as collateral. The bank has also tightened or revoked collateral financing value ratios.

One of Success Bank's major clients, Global Development Company ("Global"), a listed entity on the Hong Kong Stock Exchange, is experiencing significant financial difficulties and is under immense pressure to delist from the market. In 2024, Global defaulted on loan payments totaling HK\$80 million. As a precaution, Success Bank's management has decided to make a 50% expected credit loss provision against Global's loan balance of HK\$1,000 million.

Required:

As the audit engagement manager of Success Bank,

- (a) Evaluate the risk of material misstatements in relation to the valuation of the loan and advances to customers and loan interest receivables.**
(4 marks)

- (b) Propose audit procedures to address the above risk of material misstatements, in particular the audit procedures in assessing management's judgement and estimates applied in the expected credit losses assessment.**
(8 marks)

Question 7 (11 marks – approximately 20 minutes)

You are an audit manager and conducting an audit of the financial statements of H-Tech Limited ("H-Tech") for the year ended 31 December 2024. H-Tech is a publicly listed software company specializing in developing mobile applications for the food and beverage industry. One of H-Tech's most well-known applications is "Let Eat."

On 30 November 2024, H-Tech was sued by C-Tech Limited ("C-Tech"), a competitor in the same industry, alleging that H-Tech unlawfully obtained proprietary information and used it to develop Let Eat. C-Tech claims that Let Eat closely resembles its flagship product, "Eat Anywhere." As a result, C-Tech is seeking HK\$100 million in compensation and a ban on Let Eat for alleged intellectual property infringement.

As of the financial statement period-end date, the lawsuit remains ongoing. H-Tech has not engaged an external lawyer to assist with the case, instead relying on their in-house legal counsel, who specializes in general commercial law. The in-house legal counsel has estimated that H-Tech is likely to win the case. As a result, no provisions have been made in the financial statements.

Required:

- (a) Propose audit procedures to address the above litigation. (8 marks)
- (b) Despite your request to the Chief Financial Officer of H-Tech for more details about the case and for the company to consider engaging an external lawyer to provide an opinion, the in-house counsel refused to provide further information to you, citing the highly sensitive nature of the case and declining to disclose additional details.

As an audit manager, propose further actions to address the above situation, both internally and externally.

(3 marks)

Question 8 (17 marks – approximately 31 minutes)

You are an auditor conducting an audit of the financial statements of Woo Wah Limited ("WW Ltd") for the year ended 31 December 2024. WW Ltd is an artificial intelligence ("AI") company that recently launched its advanced AI solution, "WuWa Talk". This solution specialises in natural language processing, machine learning, and predictive analytics. It utilises self-developed AI models to store and process large volumes of sensitive training data, ensuring that each subscriber's information remains confidential and accessible only to them.

WuWa Talk offers subscription plans for its users, ranging from daily, monthly, to yearly plans. The back-end financial reporting system ("FR System") automatically extracts data from WuWa Talk to calculate monthly revenue amounts.

Due to high staff turnover, the IT Committee at WW Ltd is currently prioritising the design of a backup and contingency plan for WuWa Talk; however, most of the plan has not yet been fully implemented. However, the removal of former employees' access to the WuWa Talk and FR System has been assigned a lower priority.

Since the launch of WuWa Talk, WW Ltd's client base has rapidly expanded and now serves over 200 companies worldwide. To manage the unexpected surge in demand, WW Ltd has rented servers from Farma Limited ("Farma"), an IT solution provider founded just one year ago. These rented servers are housed at Farma's office premises.

In February 2024, two instances of data leakage were identified by Farma and reported to WW Ltd's IT Committee in December 2024.

Required:

- (a) Propose relevant audit procedures to test the operating effectiveness of the IT general controls of WuWa Talk.
(6 marks)
- (b) Identify the potential control weaknesses on the IT general controls and propose remediation plans to improve the IT general controls over the WuWa Talk and FR System.
(11 marks)

* * * END OF EXAMINATION PAPER * * *